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THE SCREEN PARTED. The fog cleared. And Freedom emerged slowly on a pedestal, as a pair of wings was lowered from above to flank it. It was a dramatic event on a pleasant July day in Pune earlier this year. And, no, it was not the declaration of Independence, but the launch of the world's first CNG (compressed natural gas)-powered motorbike, the Freedom 125, from the stables of Bajaj Auto, India's third-largest two-wheeler manufacturer.

What was inaugurated that day at Bajaj's plant at Chakan was the newest theatre of battle in the highly competitive, extremely price-sensitive Indian motorbike market. Here every segment has its own logic and, most often, its own set of competitors. It is a market that is subject to constant churn as newer technologies upend the status quo.

In the ICE (internal combustion engine) segment, a fight rages on as the legacy bike makers slug it out across the entry-level, mass market, and premium segments. In this epic, some of the dramatic personae are household names—like Hero MotoCorp, Honda

Motorcycle & Scooter India, Bajaj Auto, TVS Motor Company, and Royal Enfield—while others—such as electric vehicle start-ups like Ola Electric and Revolt Motors, and Mahindra & Mahindra with Classic Legends—strive to steal the spotlight.

All this effort has but one aim: to come out on top in the bike market, which industry insiders peg at 900,000 units every month and believe is the biggest in the world. The victors will not just gain fame and glory, but, ultimately, profits, and lots at that.

THE CNG SPARK

The reason Bajaj Auto—that has weathered nearly 80 winters—launched the world's first CNG motorcycle was to steal a march over its rivals in the entry-level segment. This segment has suffered in recent years as rural demand has dipped, especially in the immediate aftermath of Covid-19. Fuel prices have risen quite a bit, pinching the pockets of the segment's extremely wallet-conscious customers.

In the CNG powertrain, Bajaj spies an opportunity to reclaim ground it lost to Hero and Honda over the past 30 years. That is because CNG is a much cheaper fuel option than petrol. “We want to return the favour to Hero and Honda after 30 years,” an emotional Rajiv Bajaj, Managing Director of Bajaj Auto, said at the launch of the Freedom 125.

Those 30 years have witnessed an immense change, as the composition of two-wheeler sales swung from 70% scooters to 70% motorcycles. Since 1998, Bajaj Auto has fallen behind leaders Hero and Honda in the commuter and mass market motorcycle segments, though its market share has increased incrementally in recent years.



“The [growth] drivers are at the entry segment, where we have a very strong, formidable market share. Our actions are focussed on expanding [offerings] in this category”

NIRANJAN GUPTA

CEO, HERO MOTOCORP, IN AN ANALYST CALL